control policy, including export promotion measures, as well as the system of priorities for import of raw materials, machinery and capital goods. This Committee brought the policy of import substitution clearly to the fore.

The Fourth Five-Year Plan (1969–1974) brought up self-reliance as a major economic plank. It spoke specifically of ‘the need to achieve speedy self-reliance’. Recognizing that the economy’s requirements of capital equipment, metals, petroleum products and chemicals were growing fast and dependence on imports was especially large, the plan document argued for ‘progressive movement towards self-reliance’ realized by a relatively faster expansion of domestic production in these industries over the next decade or so.

The policy of self-reliance, guided by the strategy of import substitution, was implemented most fiercely from the time Indira Gandhi assumed the leadership of the country. In the 1970s, India used all trade policy levers to shut out imports: very high tariff walls (average import tariffs exceeded 200 per cent); severe quantitative restrictions (almost all imports required licence); and non-allocation of foreign exchange (limited exchange quotas for imports). As a consequence, the country’s non-oil and non-cereal imports were less than 3 per cent of our consumption in 1975–76.

Import Substitution Slowed Growth

Beginning in the second half of the 1960s, many developing countries (Japan, Taiwan, South Korea) embarked on export-led growth strategies. This required an open attitude to FDI and import of foreign technology, fuels and raw materials. It also required openness to import consumer goods, both for consumption and reverse engineering to produce the same products at competitively lower costs to build exports using cheaper labour and skills. In the middle of the 1960s, a number of ASEAN countries joined the export bandwagon. As the industrial world (North America and Europe)